

can make more money quickly by trading the EPA line than waiting for the stock to reach the ultimate high on average.

How many change trend? This item is a measure of how many Wolfe waves see price rise more than 20% above the low at turn 5. Notice that the bear market result is higher than the bull market one, which is unusual. It may help explain why there are fewer bear market failures.

[Table 76.3](#) shows volume statistics as they relate to performance.

Performance, volume above/below average. Because Wolfe places emphasis on turn 5 having volume above the prior days, I tested performance when volume was above or below the prior 1-month's average. In bull markets, Wolfe waves (as measured to the ultimate high, not the EPA line) show better performance and fewer failures (which appear in parenthesis) when volume is above average.

In bear markets, there is no performance difference, but we do see a reduction in failure rates (almost cut in half, from 7% to 4%).

In short, *do* check that turn 5 has high volume.

Volume twice average. For grins, I checked performance when the turn at point 5 had at least twice the volume of the 1-month average. In bull markets, performance didn't change but failures decreased (which is good).

In bear markets, failures stayed the same but performance increased dramatically (from 26% to 36%). Again, performance measures from the low at point 5 to the ultimate high. So finding point 5 to have heavy volume is a plus.

[Table 76.3](#) Volume Statistics (Failure Rate)

Description	Bull Market	Bear Market
Performance when point 5 volume is above average	28% (14%)	26% (4%)
Performance when point 5 volume is below average	26% (17%)	26% (7%)
Volume twice average at point 5	28% (12%)	36% (4%)